

Discounting & Compounding. Annual Payout						
Rate	Year	1	2	3	4	5
5%	Compounding	1.050	1.103	1.158	1.216	1.276
	Discounting	0.952	0.907	0.864	0.823	0.784
6%	Compounding	1.060	1.124	1.191	1.262	1.338
	Discounting	0.943	0.890	0.840	0.792	0.747
7%	Compounding	1.070	1.145	1.225	1.311	1.403
	Discounting	0.935	0.873	0.816	0.763	0.713
8%	Compounding	1.080	1.166	1.260	1.360	1.469
	Discounting	0.926	0.857	0.794	0.735	0.681
9%	Compounding	1.090	1.188	1.295	1.412	1.539
	Discounting	0.917	0.842	0.772	0.708	0.650
10%	Compounding	1.100	1.210	1.331	1.464	1.611
	Discounting	0.909	0.826	0.751	0.683	0.621

Example	If you want to compound an amount at 5% for 3 years, you can multiple it by 1.158
	If you want to discount an amount at 5% over 3 years, you can divide it by 1.158 or multiply it by 0.864